

tive communication tools, creating global footprints and focusing on core competencies.

According to survey participants, the top-three business strategies (Fig. 3) to get a competitive advantage while acquiring business in the consumer electronics segment are:

1. Effective supply chain management
2. Maintaining scalable business solutions
3. Better knowledge of customer needs and customer-centric business models

EMS providers should also focus on penetration into niche markets and effective information technology tools.

Moreover, considering the intense competition, participants feel that EMS providers need to enhance their value proposition by offering integrated and end-to-end solutions. They also suggest that a strategic partnership with OEMs can enable EMS providers as well as OEMs to contribute effectively to the success of the end product. This, in turn, will help both the parties to achieve high profitability and good market share.

One-stop shops are in demand

Survey participants unanimously accept the importance of turnkey manufacturing services, as the need of the hour is to fulfil the increasing demand for one-stop shops for EMS in the consumer electronics segment.

Sometimes, OEMs follow the consignment contract manufacturing model to maintain greater control over material planning and the acquisition process. This also minimises the risks associated with a vendor-managed pipeline.

A common best practice among OEMs is to have systems that can analyse the total acquisition cost and use it to evaluate EMS suppliers as well as other types of contract manufacturers. These systems as-

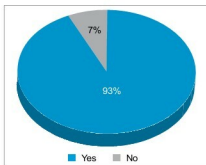


Fig. 4: Predicted demand for original design manufacturer in the consumer electronics sector

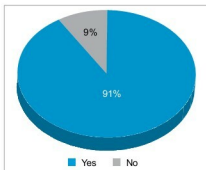


Fig. 5: Predicted demand for reverse logistics in the consumer electronics sector

sign values to intangibles such as ease of working with a vendor. An OEM assessing an outsourcer must have a way to measure the other elements of the relationship that add to cost.

Turnkey projects need a high degree of technical skills that can be customised according to specific requirements of the OEMs. Only a few Indian EMS providers offer turnkey solutions for PCBAs, utilising chip-on-board, surface mount and through-hole technologies. They also provide complete assemblies including plastic mouldings, metal-die castings and sheet metal fabrications, apart from finishing, painting and printing—in short, deliver the final assembly of completed units. This opens up vast business expansion opportunities for Indian EMS companies.

Original design manufacturing gains importance

Electronics products need constant design revisions as end users

expect creativity and continuous innovation. Therefore consumer electronics product design and development is often outsourced to original design manufacturers. In such cases, the sooner an OEM engages the contract manufacturer for product design and development services, the better—particularly when the product being designed moves into production and ramp-to-volume phases.

In instances where the original design manufacturer is hired by the OEM for strategic reasons, the former is expected to have experience in designing and manufacturing similar products. This enables the OEM to minimise costly design iterations, helps bring the OEM product to market sooner and adds several other benefits to the contract manufacturing relationship.

Among the survey participants, 93 per cent (Fig. 4) have indicated that services of original design manufacturers are in demand. They feel that it is important to effectively control overall manufacturing costs in the highly cost-competitive market.

EMS providers can help customers achieve this goal by offering turnkey solutions with value-added services. Design is the best value-added service that an EMS company can provide. Hence, original design manufacturer services become a very important and cost-effective solution for customers.

However, seven per cent of survey participants do not see any value of original design manufacturers in the Indian market. They feel that Indian products need efficient manufacturing strategies rather than original design manufacturers.

Scope in reverse logistics

India is still not a use-and-throw market for consumer electronics products. After-sales services including repair and maintenance